LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Inventory Funding?

Developed by www.loanbazaaronline.com

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Executive Summary & Course Orientation

Inventory Funding represents one of the most critical structured working capital products in the Indian banking and NBFC ecosystem. Designed specifically to resolve the **Cash-to-Cash Conversion Cycle Gap**, inventory funding enables commercial enterprises, manufacturers, distributors, and traders to unlock immediate liquidity from raw materials, work-in-progress (WIP), and finished goods without locking up equity or exhausting long-term capital facilities.

Reading this masterclass white paper alone will provide a complete, end-to-end understanding of Inventory Funding in India—covering its theoretical foundation, structural taxonomy, credit appraisal mechanics, legal security architecture, statutory compliance rules, commercial pricing, tax shield optimizations, and real-world execution.

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Module 1: Theoretical Foundations, Statutory Framework & Product Philosophy of Inventory Funding

Inventory Funding is a revolving or term-based credit facility extended by Scheduled Commercial Banks (SCBs), Non-Banking Financial Companies (NBFCs), and specialized trade lenders, secured primarily by a first pari-passu or exclusive charge over a borrower's physical stock of goods.

The Cash-to-Cash Conversion Cycle Paradox

In standard corporate operations, a business incurs cash outflows to procure raw materials, store inventory, process goods, and sell to buyers on credit terms. The total duration between laying out cash for raw materials and receiving cash from buyers is known as the **Cash Conversion Cycle (CCC)**:

$$CCC = Days\ Inventory\ Outstanding\ (DIO) + Days\ Sales\ Outstanding\ (DSO) - Days\ Payable\ Outsta$$

When DIO expands due to seasonal stocking, bulk purchasing discounts, or supply chain lead times, operational cash flow becomes severely constrained. Traditional cash credit limits or uncollateralized loans often fail to scale with rapid inventory spikes. Inventory Funding bridges this liquidity mismatch by transforming static warehouse inventory into an active borrowing base.

Legal Foundations of Inventory Security in India

The legal framework governing inventory collateralization in India rests on two primary statutory mechanisms:

1. **Hypothecation under the SARFAESI Act, 2002:** Under Section 2(1)(n) of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002, hypothecation is defined as a charge created by a borrower on movable property (inventory, raw materials, WIP, finished goods) where ownership and physical possession remain with the borrower, but the creditor holds a legal right to inspect, audit, repossess, and sell the goods in the event of default.
2. **Pledge under the Indian Contract Act, 1872:** Under Section 172 of the Indian Contract Act, 1872, a pledge involves the actual or constructive bailment (delivery of physical possession) of inventory to the creditor or its designated custodial agent (such as a third-party collateral management agreement - CMA) as security for debt repayment. Under Section 176, the Pawnee (lender) possesses direct out-of-court foreclosure and liquidation rights upon giving reasonable notice to the Pawnor (borrower).

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Module 2: Structural Taxonomy and Comparative Analysis

To select the optimal financing structure, corporate treasury teams and credit underwriters evaluate Inventory Funding against alternative short-term credit products.

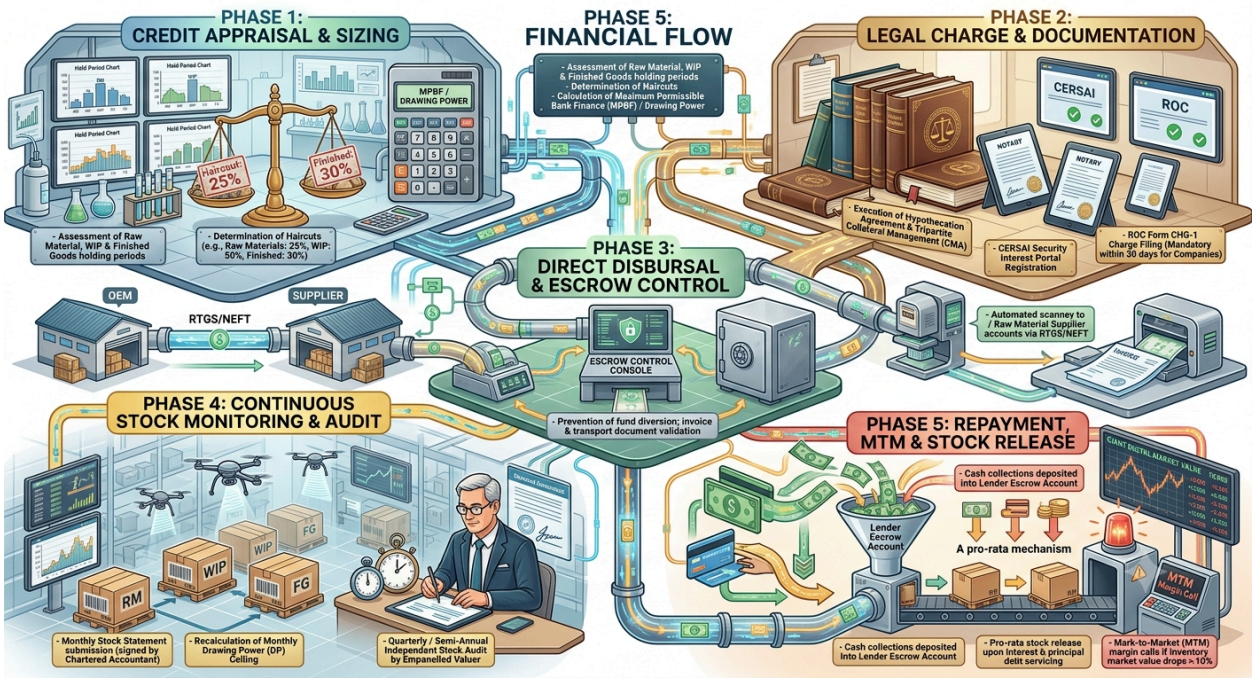
Comparative Credit Matrix: Inventory Funding vs. Alternative Credit Facilities

Parameter	Inventory Funding (Structured Overdraft)	Standard Cash Credit (CC) Facility	Vendor / Channel Financing	Bill Discounting / Factoring	Unsecured Short-Term Business Loan
Primary Collateral	Specific Raw Materials, Finished Goods	Total Working Capital (Inventory + Debtors)	Confirmed Purchase Orders / Corporate Anchor	Approved Commercial Invoices	None (Pure Cash Flow / Clean)
LTV / Haircut Sizing	60% – 75% LTV (25% – 40% Margin)	60% – 75% LTV on Drawing Power	75% – 90% against PO / Invoice	80% – 90% against Approved Invoice	0% (Clean Line / Multiplier)
Custody / Control	Hypothecated or Collateral Management (CMA)	Hypothecated (Borrower Premises)	Hypothecated / Anchor Escrow	Assigned Receivables / Escrow	Clean / Uncollateralized
Physical Stock Verification	Monthly Stock Statements + Quarterly Independent Audit	Monthly Stock Statements + Annual Audit	Anchor Direct Confirmation	Invoice Reconciliation	Annual Financial Audit Only
Indicative Pricing Spread	EBLR / MCLR + 1.50% to 3.50% p.a.	EBLR / MCLR + 1.25% to 3.00% p.a.	Repo / MCLR + 1.75% to 3.75% p.a.	8.50% – 12.50% p.a. Discount Rate	15.00% – 22.00% p.a. Fixed Rate
Statutory Registration	CERSAI + ROC Form CHG-1 (within 30 Days)	CERSAI + ROC Form CHG-1 (within 30 Days)	CERSAI + ROC Form CHG-1	CERSAI + TReDS / Factor Register	None (Unsecured)
Balance Sheet Impact	Current Liability (Short-Term Borrowing)	Current Liability (Revolving Line)	Off-Balance Sheet / Current Liability	Off-Balance Sheet (Non-Recourse) / Liability	Current Liability (Financial Debt)

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Module 3: The End-to-End Operational Lifecycle of Inventory Funding

Executing an Inventory Funding facility involves a 5-phase operational waterfall designed to ensure continuous collateral monitoring and capital preservation.



Drawing Power (DP) Sizing & Monthly Recalculation Mechanics

In Inventory Funding, the borrowing limit is dynamically capped by the **Drawing Power (DP)**, calculated as: Drawing Power (DP)=Paid Stock Value1−Inventory Haircut %+Eligible Receivables (< 90 Days)1−Debtor Haircut %

Where:

$$Paid\ Stock\ Value\ =\ Gross\ Inventory\ (Raw\ Material\ +\ WIP\ +\ Finished\ Goods)\ -\ Unpaid\ Creditor$$

If unpaid creditors are not deducted, the lender would effectively be financing goods that belong to the supplier, creating double-leveraged risk.

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Module 4: Underwriting Framework, Working Capital Estimation & Credit Risk Metrics

Lenders evaluate inventory funding applications using standardized credit appraisal models mandated by the Reserve Bank of India (RBI) and empirical risk scorecards.

1. The Tandon Committee's Second Method of Lending (MPBF Formula)

For commercial borrowers with aggregate working capital limits exceeding ₹5 Crores, lenders apply the **Tandon Committee's Second Method of Lending**:

$$Net\ Working\ Capital\ (NWC)\ Requirement\ \geq\ 0.25\ \times\ Total\ Current\ Assets\ (TCA)$$

$$Maximum\ Permissible\ Bank\ Finance\ (MPBF)\ =\ 0.75\ \times\ (Total\ Current\ Assets)\ -\ Current\ Liabilities$$

Under this method, the borrower must maintain a minimum Current Ratio of **1.33:1**:

$$Current\ Ratio\ =\ \frac{Total\ Current\ Assets}{Current\ Liabilities}\ \geq\ 1.33{:}\ 1$$

2. Projected Turnover Method (Nayak Committee)

For MSMEs and commercial enterprises seeking limits up to ₹5 Crores, working capital is estimated at a minimum of **25% of Projected Annual Turnover**, where: - Borrower's Equity Margin Contribution = **5% of Projected Turnover** - Maximum Bank Finance (Inventory + Receivables) = **20% of Projected Turnover**

Key Credit Risk Scorecard Thresholds

1. **Promoter CIBIL Score:** Minimum **700+** for individual promoters/directors; **CIBIL MSME Rank (CMR)** of **CMR 1 to CMR 4** for corporate entities.
2. **Debt Service Coverage Ratio (DSCR):** Benchmark $\geq\ 1.25x$ for term inventory lines:

$$DSCR\ =\ \frac{PAT+Depreciation+Interest}{Interest+Principal\ Repayment}$$

3. **Interest Coverage Ratio (ICR):** Benchmark $\geq\ 1.50x$:

$$ICR\ =\ \frac{EBITDA}{Gross\ Interest\ Expense}$$

4. **Inventory Turnover Ratio & Ageing Haircuts:** Lenders apply progressive haircuts based on inventory velocity:
   - **Fast-Moving Inventory (< 60 Days holding):** Standard Haircut 25% (75% LTV)
   - **Slow-Moving Inventory (60 - 120 Days holding):** Increased Haircut 40% (60% LTV)
   - **Obsolete / Dead Stock (> 120 Days holding):** 100% Haircut (0% LTV - Completely Excluded)

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5. **GST Invoice Matching & Account Aggregator Reconciliation:** Real-time GSTR-1 and GSTR-3B tax return validation via GSTN APIs to ensure reported inventory purchases match actual GST Input Tax Credit (ITC) filings.

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Module 5: Legal Security Architecture, Hypothecation & Statutory Compliance

Creating an enforceable security interest over physical inventory requires rigorous compliance with Indian statutory framework and regulatory registry filings.

Key Statutory Provisions and Security Covenants

1. **Section 2(1)(n) & Section 13 of the SARFAESI Act, 2002:** Under SARFAESI, hypothecation grants lenders out-of-court enforcement rights. If the borrower defaults and the account is classified as a Non-Performing Asset (NPA), the lender issues a **60-day Demand Notice under Section 13(2)**. Upon non-payment, the lender enforces physical repossession of inventory under **Section 13(4)** with assistance from the Chief Metropolitan Magistrate (CMM) or District Magistrate (DM) under **Section 14**.
2. **Section 172 & 176 of the Indian Contract Act, 1872 (Pledge Facilities):** Where inventory is stored under a Third-Party Collateral Management Agreement (CMA) or warehouse keeper, the relationship operates as a legal pledge. Under Section 176, the lender can sell the pledged inventory in the open market after providing reasonable notice to the borrower, without requiring court intervention.
3. **Mandatory CERSAI Portal Registration:** Under Section 20 of the SARFAESI Act, all security interests created over hypothecated or pledged inventory must be registered on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (**CERSAI**) portal within 30 days of sanction. CERSAI registration establishes public priority of claim over subsequent creditors.
4. **Registrar of Companies (ROC) Form CHG-1 Filing:** Under Section 77 of the Companies Act, 2013, corporate borrowers creating a charge over inventory must file **Form CHG-1** with the Registrar of Companies (ROC) within 30 days of charge creation. Failure to file CHG-1 renders the security charge void against a liquidator or competing creditors under the Insolvency and Bankruptcy Code (IBC), 2016.

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Module 6: Suitable Industries, Business Profiles & Ecosystem Market Alignment

Inventory Funding is specifically designed for businesses characterized by high working capital intensity, significant inventory holding periods, or seasonal demand surges.

High-Potential Industry Verticals

1. **FMCG & Consumer Durables Distributors:** Electronics, home appliances, and fast-moving consumer goods distributors require seasonal inventory buildup ahead of festival periods (Diwali, regional harvest festivals). Inventory funding enables distributors to capture bulk procurement discounts from OEMs.
2. **Automotive OEMs & Component Manufacturers:** Tier-1 and Tier-2 auto-ancillary manufacturers must maintain continuous buffer stocks of steel, aluminum, rubber, and specialized electronic components to prevent production line shutdowns.
3. **Textile, Apparel & Chemical Processors:** Yarns, dyes, specialized chemicals, and finished garments involve long processing cycles (90 - 120 days) where capital is locked in WIP and seasonal fiber procurement.
4. **Agri-Commodity Processors & Traders:** Grain mills, sugar refineries, oilseed crushers, and spice exporters utilize warehouse receipt and inventory funding to stock seasonal agricultural produce during peak harvest windows.
5. **Capital Goods & Industrial Equipment Manufacturers:** Heavy machinery builders with 6-month to 12-month production cycles use structured inventory lines to finance raw steel, castings, and sub-assemblies.

Macroeconomic Alignment & Commercial Market Footprint

Commercial credit data from leading financial institutions in India highlights the central role of inventory and distributor financing in commercial lending: - **Retail and Wholesale Traders represent the single largest segment of working capital borrowers, accounting for 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore credit exposure segment. - Public sector institutions have digitized supply chain inventory lending at massive scale—State Bank of India (SBI) operates dedicated digital inventory platforms, including **e-DFS (Electronic Dealer Financing Scheme) with active outstandings exceeding ₹49,261 Crores** and **e-VFS (Electronic Vendor Financing Scheme) at ₹28,092 Crores**.

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Module 7: Commercial Pricing Mechanics, Cost-Benefit Analysis & Interest Tax Shields

Understanding the true economic cost of Inventory Funding requires analyzing floating benchmark spreads, processing fees, GST treatment, and post-tax interest tax shields.

Benchmark Pricing & Commercial Fee Structures

1. **Floating Benchmark Rates:**
    - **External Benchmark Lending Rate (EBLR):** For MSME borrowers, banks link inventory funding lines directly to the RBI Repo Rate (e.g., Repo Rate 6.50% + Bank Spread 2.50% = **9.00% p.a.**).
    - **Marginal Cost of Funds based Lending Rate (MCLR):** For larger corporate entities, limits are linked to 1-Month or 3-Month MCLR (e.g., 3M MCLR 8.20% + Spread 1.80% = **10.00% p.a.**).
2. **Processing & Upfront Fees:**
    - Upfront Sanction / Processing Fee: **0.50% to 1.50%** of sanctioned limit.
    - Stock Audit Fee: Fixed fee ranging from ₹10,000 to ₹35,000 per quarterly audit.
3. **Goods and Services Tax (GST) Impact:**
    - **Interest Charges:** Interest paid on inventory overdrafts and cash credit lines is **100% EXEMPT from GST** under Notification No. 12/2017-Central Tax (Rate).
    - **Processing & Audit Fees:** Bank processing fees, documentation charges, and stock audit fees attract **18% GST**. For commercial enterprises, this 18% GST is **100% recoverable as Input Tax Credit (ITC)** against GST liabilities on sales.

The Section 36(1)(iii) Income Tax Shield Optimization

Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for the purpose of business operations (including inventory funding lines) is **100% tax-deductible** from gross business profits.

The effective post-tax borrowing cost is calculated as:

$$Effective\ Post\ -\ Tax\ Interest\ Rate\ =\ Nominal\ Interest\ Rate\ \times\ (1\ -\ Corporate\ Tax\ Rate)$$

For an Indian corporate borrower operating under the standard 25.17% corporate tax regime (22% tax + 10% surcharge + 4% cess under Section 115BAA):

$$Effective\ Post\ -\ Tax\ Cost\ (@\ 10.50\%\ p.a.\ Nominal)\ =\ 10.50\%\ \times\ (1\ -\ 0.2517) = 7.8573\%\ p.a.$$

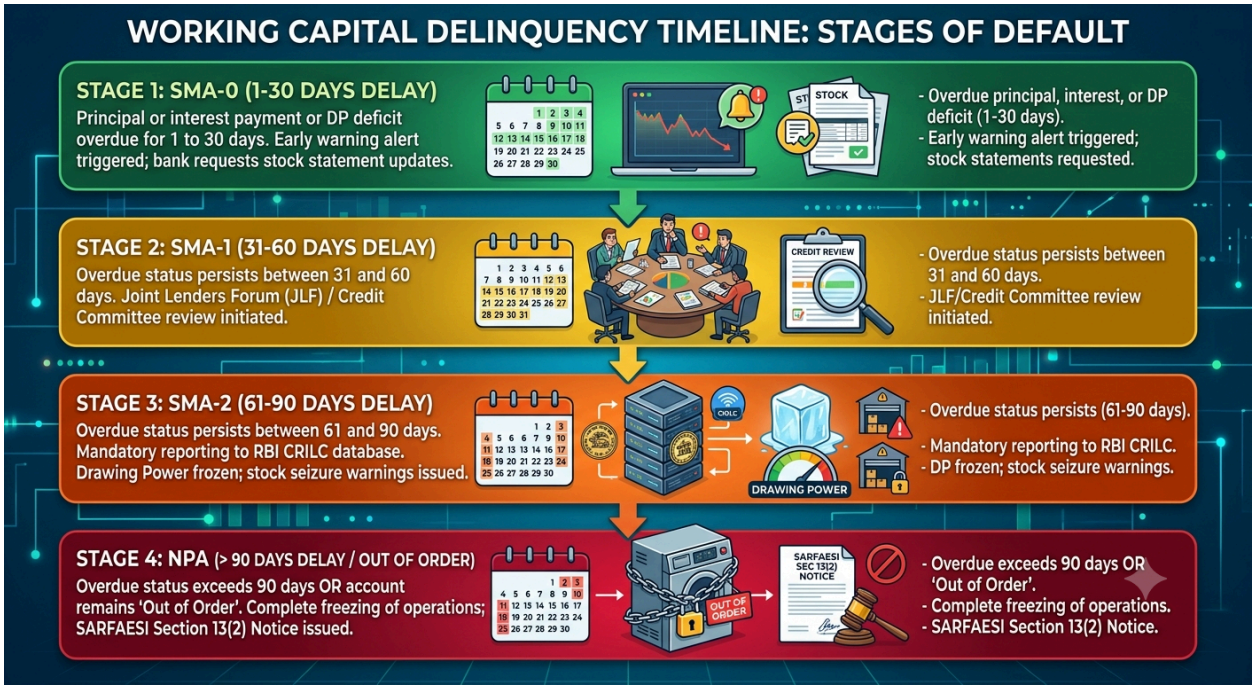
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Module 8: Regulatory Compliance, RBI Directions, IRACP Asset Classification & Stock Audits

Inventory funding lines are subject to strict Reserve Bank of India (RBI) Prudential Norms on Income Recognition, Asset Classification and Provisioning (IRACP).

The IRACP Default Timeline and Delinquency Clock

When a revolving inventory line or cash credit facility encounters debt servicing stress, the delinquency clock ticks as follows:



The "Out of Order" Default Trigger

Under RBI IRACP guidelines, a revolving Cash Credit / Inventory Overdraft account is treated as **"Out of Order"** and classified as an **NPA** if: 1. The outstanding balance remains continuously in excess of the sanctioned limit / Drawing Power for **90 days**; OR 2. The outstanding balance is less than the sanctioned limit/DP, but there are no credits continuously for **90 days**, or credits are insufficient to cover the interest debited during the same period.

Technical Renewal Default Rule (180-Day Limit)

RBI guidelines mandate that revolving inventory facilities must be reviewed and renewed at least once every 12 months. If stock statements or financial audits are delayed and the facility is not renewed within **180 days from the due date**, the account is automatically classified as an NPA, regardless of whether interest is serviced normally.

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Module 9: Comprehensive Real-World Case Study (Mumbai Consumer Electronics & Durables Pvt. Ltd.)

To illustrate the financial impact of Inventory Funding, we examine a mid-market electronics assembler and distributor operating in Navi Mumbai.

Corporate Profile & Financial Scenario

- **Entity Name:** Mumbai Consumer Electronics & Durables Pvt. Ltd. (MCEDPL)
- **Business Profile:** Assembler and distributor of LED display panels, smart TVs, and home appliances.
- **Annual Sales Turnover:** ₹50,00,00,000 (₹50 Crores).
- **Corporate Income Tax Rate:** 25.17% (under Section 115BAA).
- **Internal Return on Capital Employed (ROCE):** 16.00% p.a.
- **Festive Procurement Requirement:** In September, MCEDPL requires **₹10,00,00,000 (₹10 Crores)** of imported display panels and IC chips ahead of the festive season.
- **OEM Vendor Incentive:** The Korean OEM component manufacturer offers a **12.00% bulk purchase cash discount** for upfront 100% payment on a ₹10 Crore order.

$$Bulk\ Cash\ Discount\ Value\ =\ 12.00\%\ \times\ ₹10,00,00,000\ =+\ ₹1,20,00,000.00\ (₹1.20\ Crores)$$

- **Financing Horizon:** 180 Days (6-month holding and distribution cycle).

Financial Comparative Model: Unsecured Debt vs. Structured Inventory Overdraft

Pathway A: High-Cost Unsecured Short-Term NBFC Business Loan @ 17.50% p.a.

1. Sanctioned Unsecured Facility Amount: **₹10,00,00,000.00**
2. Upfront Processing Fee (1.50%): **₹15,00,000.00**
3. Upfront GST on Fee (18%): ₹2,70,000.00 *(100% recoverable as Input Tax Credit)*
4. Gross 180-Day Interest Outlay (@ 17.50% p.a.):

$$Interest\ =\ ₹10,00,00,000\ \times\ 17.50\%\ \times \frac{180}{365}\ =\ ₹86,30,136.99$$

5. Corporate Income Tax Shield (25.17% under Section 36(1)(iii)):

$$Tax\ Shield\ =-\ ₹86,30,136.99\ \times\ 0.2517\ =-\ ₹21,72,205.48$$

6. Net Post-Tax Interest Outlay: **₹64,57,931.51**
7. Net Post-Tax Outcome under Pathway A:

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$$Net\ Benefit = Bulk\ Discount\ (+\ ₹1.20\ Cr) - Net\ Interest\ (-\ ₹64.58\ L) - Fee\ (-\ ₹15.00\ L) =+\ ₹4$$

Pathway B: Structured Inventory Funding Overdraft @ 10.50% p.a. (70% LTV)

1. Equity Margin Contribution (30%): **₹3,00,00,000.00** *(placed in 180-day Fixed Deposit earning 6.50% p.a. pre-tax interest)*
2. Pre-Tax FD Yield Earned on Margin Deposit (@ 6.50% p.a. for 180 days):

$$FD\ Yield = ₹3,00,00,000 \times 6.50\% \times \frac{180}{365} =+\ ₹9,61,643.84$$

3. Bank Inventory Overdraft Sanctioned (70% LTV): **₹7,00,00,000.00**
4. Upfront Processing Fee (0.50%): **₹3,50,00,000.00** -> **₹3,50,000.00**
5. Upfront GST on Processing Fee (18%): ₹63,000.00 *(100% recoverable as Input Tax Credit)*
6. Gross 180-Day Overdraft Interest Outlay (@ 10.50% p.a. on ₹7 Crores utilized):

$$Interest = ₹7,00,00,000 \times 10.50\% \times \frac{180}{365} = ₹36,24,657.53$$

7. Corporate Income Tax Shield (25.17% under Section 36(1)(iii)):

$$Tax\ Shield =-\ ₹36,24,657.53 \times 0.2517 =-\ ₹9,12,326.30$$

8. Net Post-Tax Overdraft Interest Outlay: **₹27,12,331.23**
9. Operating ROCE Profits Earned on Preserved Operational Capital: By financing ₹7.00 Crores via bank inventory line, MCEDPL preserves ₹7.00 Crores in operational cash flow, re-investing it into core distribution channels earning 16.00% p.a. ROCE over 180 days:

$$ROCE\ Profits\ Earned = ₹7,00,00,000 \times 16.00\% \times \frac{180}{365} =+\ ₹55,23,287.67$$

10. **Net Strategic Post-Tax Financial Surplus under Pathway B:**

$$Net\ Surplus = Bulk\ Discount\ (+\ ₹1.20\ Cr) + ROCE\ Profits\ (+\ ₹55.23\ L) + FD\ Yield\ (+\ ₹9.62\ L) -$$

Comparative Summary & Financial Impact

Financial Metric	Pathway A: Unsecured Business Loan (@ 17.50% p.a.)	Pathway B: Structured Inventory Funding (@ 10.50% p.a.)	Net Strategic Advantage of Inventory Funding
Sanctioned Limit	₹10,00,00,000.00	₹7,00,00,000.00 (70% LTV)	Right-sized LTV matching stock value

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Financial Metric	Pathway A: Unsecured Business Loan (@ 17.50% p.a.)	Pathway B: Structured Inventory Funding (@ 10.50% p.a.)	Net Strategic Advantage of Inventory Funding
Borrower Margin Contribution	₹0.00	₹3,00,00,000.00 (in 6.50% FD)	Earns ₹9.62 Lakhs in FD interest
Upfront Processing Fee	₹15,00,000.00	₹3,50,000.00	**+₹11,50,000.00 Upfront Savings**
Gross 180-Day Interest Cost	₹86,30,136.99	₹36,24,657.53	**+₹50,05,479.46 Gross Interest Reduction**
Section 36(1)(iii) Tax Shield	-₹21,72,205.48	-₹9,12,326.30	Optimal interest deduction
ROCE Operating Profits Earned	₹0.00	+₹55,23,287.67	Unlocks ₹55.23 Lakhs in business growth
Bulk OEM Discount Secured	+₹1,20,00,000.00	+₹1,20,00,000.00	Captures ₹1.20 crore supplier incentive
Net Post-Tax Financial Outcome	**+₹40,42,068.49**	**+₹1,54,22,600.28**	**+₹1,13,80,531.79 Net Wealth Creation!**

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Module 10: 10-Question Professional Certification Examination & Rationales

To verify complete product mastery, trainees must be able to answer the following 10 scenario-based examination questions:

Question 1

What is the legal distinction between Hypothecation under the SARFAESI Act, 2002 and a Pledge under the Indian Contract Act, 1872? - **A)** Hypothecation applies only to real estate; Pledge applies to vehicles. - **B)** In Hypothecation, ownership and physical possession remain with the borrower while a charge is registered; in a Pledge, physical or constructive possession of goods is transferred to the creditor/custodian. - **C)** Pledge requires court orders for repossession; Hypothecation allows instant out-of-court liquidation. - **D)** Hypothecation is governed by UCP 600; Pledge is governed by FEMA 1999. - **Answer: B** - **Rationale:** Under Section 2(1)(n) of the SARFAESI Act, 2002, hypothecation leaves possession with the debtor. Under Section 172 of the Indian Contract Act, 1872, a pledge requires bailment (transfer of possession) to the creditor or its custodial agent.

Question 2

Under the Tandon Committee's Second Method of Lending, what is the minimum required Current Ratio for a corporate borrower seeking working capital finance? - **A)** 1.00:1 - **B)** 1.10:1 - **C)** 1.33:1 - **D)** 2.00:1 - **Answer: C** - **Rationale:** The Tandon Committee Second Method mandates that Net Working Capital (NWC) contributed by the borrower must be at least 25% of Total Current Assets, establishing a statutory minimum Current Ratio of 1.33:1.

Question 3

How is Drawing Power (DP) calculated for an inventory funding overdraft facility? - **A)** DP = Gross Stock Value / 2 - **B)** DP = [(Gross Stock Value - Unpaid Creditors) x (1 - Stock Haircut %)] + [Eligible Debtors x (1 - Debtor Haircut %)] - **C)** DP = Total Sales Turnover x 50% - **D)** DP = Net Profit + Depreciation - **Answer: B** - **Rationale:** To prevent double leveraging, unpaid creditors (trade payables) must be deducted from gross stock to arrive at Paid Stock Value before applying the inventory haircut.

Question 4

Why are unpaid creditors (trade payables) deducted from gross inventory when calculating Drawing Power? - **A)** To reduce bank income tax liabilities. - **B)** Because unpaid inventory is still funded by suppliers; financing it would result in double-leveraging and over-advancing against unowned stock. - **C)** To comply with GST Input Tax Credit rules. - **D)** Because unpaid inventory is exempt from SARFAESI Act enforcement. - **Answer: B** - **Rationale:** Deducting unpaid creditors ensures the bank only lends against paid inventory owned by the borrower, preventing credit risk expansion.

Question 5

Within how many days must a company file Form CHG-1 with the Registrar of Companies (ROC) after creating a hypothecation charge over inventory? - **A)** 7 Days - **B)** 15 Days - **C)** 30 Days - **D)** 90 Days - **Answer: C** - **Rationale:** Section 77 of the Companies Act, 2013 mandates that all charges created by a company must be registered with the ROC in Form CHG-1 within 30 days of creation.

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Question 6

Under RBI IRACP guidelines, when does a revolving Cash Credit or Inventory Overdraft account become "Out of Order"? - **A)** If interest is paid 5 days late. - **B)** If the balance remains continuously above the sanctioned limit/DP for 90 days, or credits are insufficient to cover interest for 90 days. - **C)** If the promoter's CIBIL score drops below 650. - **D)** If the company changes its Chartered Accountant. - **Answer: B** - **Rationale:** RBI Prudential Norms define "Out of Order" as continuous limit/DP breach for 90 days or 90 days of credit insufficiency to cover debited interest.

Question 7

How is interest paid on an inventory funding overdraft treated under the Goods and Services Tax (GST) framework in India? - **A)** Attracts 18% GST, which is non-refundable. - **B)** Attracts 28% GST under luxury goods rules. - **C)** 100% EXEMPT from GST under Notification No. 12/2017-Central Tax (Rate). - **D)** Attracts 5% GST under the reverse charge mechanism. - **Answer: C** - **Rationale:** Interest on loans, overdrafts, and deposits is explicitly exempt from GST in India. Processing fees attract 18% GST, which is 100% recoverable as Input Tax Credit (ITC).

Question 8

Under Section 36(1)(iii) of the Income Tax Act, 1961, what is the tax treatment of interest paid on an inventory funding facility? - **A)** Interest is non-deductible capital expenditure. - **B)** Interest is 100% tax-deductible as a business expense from gross corporate profits. - **C)** Only 50% of interest is deductible. - **D)** Interest is subject to a 10% tax penalty. - **Answer: B** - **Rationale:** Section 36(1)(iii) allows full deduction of interest paid on capital borrowed for business operations, providing a tax shield that reduces effective borrowing costs by the corporate tax rate.

Question 9

If a revolving inventory facility is not formally reviewed and renewed by the bank within how many days from its due date, does it automatically turn into an NPA under technical rules? - **A)** 30 Days - **B)** 60 Days - **C)** 90 Days - **D)** 180 Days - **Answer: D** - **Rationale:** RBI guidelines mandate that ad-hoc or regular revolving lines not renewed within 180 days from the due date must be classified as Non-Performing Assets (NPAs).

Question 10

What percentage of total active commercial working capital borrowers in the ₹10 Lakh to ₹2 Crore credit segment in India is represented by Retail and Wholesale Traders? - **A)** 15% - **B)** 28% - **C)** 44% - **D)** 65% - **Answer: C** - **Rationale:** Commercial credit bureau reporting indicates that Retail and Wholesale Traders constitute 44% of total active commercial borrowers in the ₹10 Lakh - ₹2 Crore exposure tier.

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